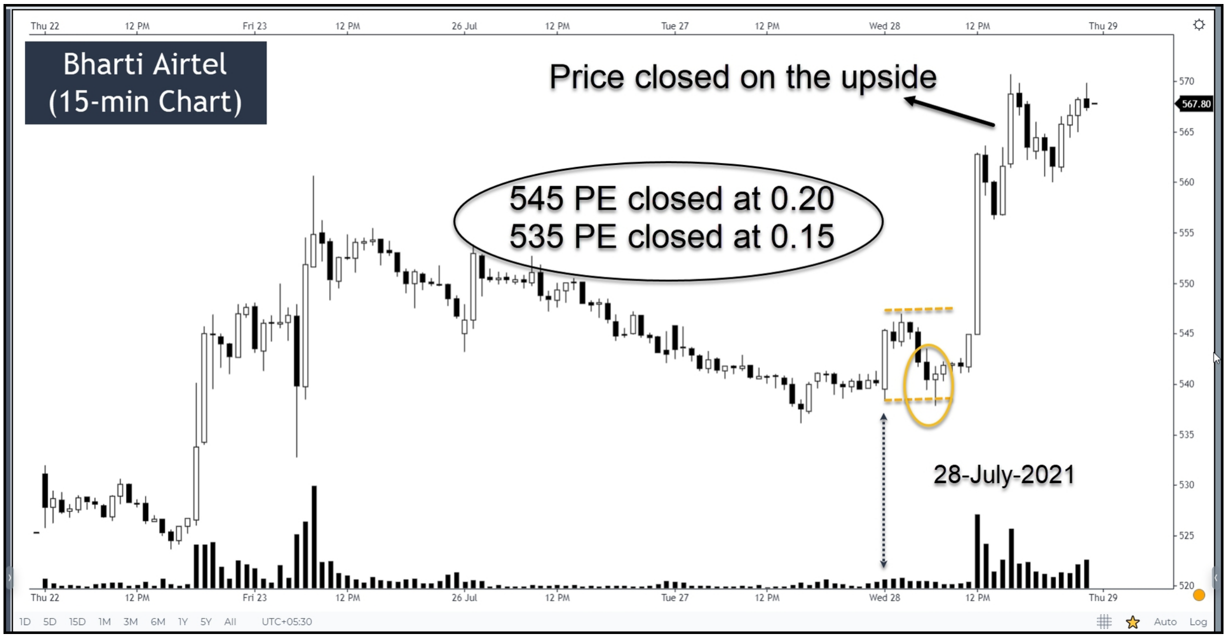

Image 9.5 – Credit Put Spread in Bharti Airtel (result)

The above image shows the result of the trade.

As expected, the price closed on the upside. As a result, 545 PE closed at 0.20, and 535 PE closed at 0.15.

Hence, the profit made is around 8,607 (1851 qty/lot), which is more than 14% returns on the capital deployed in 1 day.

This credit put spread strategy has one common feature, which acts as both advantage and disadvantage.

It puts a cap on both the profits and losses.

In the above case, the maximum profit would have been 8,700 [(5.5-0.8) * 1851]

[(The price of 545 PE at entry – price of 535 PE at entry) * Lot Size]

Similarly, the maximum loss (in the worst-case scenario) would have been 9,810 [(10-4.7) * 1851]

[(The difference between the strike prices – premium difference) * Lot Size]